Date	Particulars	Debit ₹	Credit ₹
2017 December 31	Depreciation A/c Dr. To Machinery A/c (Depreciation provided)	15,000	 15,000
 December 31	Profit and Loss A/c Dr. To Depreciation A/c (Depreciation transferred to profit and loss account)	15,000	 15,000

Illustration 6

Ramu Brothers purchased a machine on 1st July 2016 at a cost of ₹ 14,000 and spent ₹ 1,000 on its installation. The firm writes off depreciation at 10% of original cost every year. The books are closed on 31st December every year. Give journal entries and prepare machinery account and depreciation account for 2 years.

Solution

Note: Cost of the asset = Purchase price + Installation cost

= 14,000 + 1,000 = ₹ 15,000

Journal entries

Date	Particulars	Debit ₹	Credit ₹
2016 July 1	Machinery A/c Dr. To Bank A/c (Machinery bought)	14,000	 14,000
July 1	Machinery A/c Dr. To Bank A/c (Installation expenses on machinery incurred)	1,000	 1,000
December 31	Depreciation A/c Dr. To Machinery A/c (15,000 × 10/100 × 6/12) (Depreciation provided)	750	 750
December 31	Profit and Loss A/c Dr. Dr. To Depreciation A/c (Depreciation transferred to profit and loss account)	750	 750
2017 December 31	Depreciation A/c (15,000 × 10/100) Dr. To Machinery A/c (Depreciation provided)	1,500	 1,500
December 31	Profit and Loss A/c Dr. To Depreciation A/c (Depreciation transferred to profit and loss account)	1,500	 1,500

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